Financial Health · Investment Analysis

PREPARED FOR

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A note before you begin

Financial planning is about more than money. It's about the life your money is there to support: the people you care about, the choices you want to preserve, the goals you want to pursue, and the legacy you may one day leave behind.

Over the course of a lifetime, money has many jobs. It helps you live well today, create possibilities for tomorrow, protect against what could disrupt your plans, and care for the people and causes that matter to you.

This report brings those pieces together. It is designed to help you see where you are today, where you're heading, and the decisions that may matter along the way.

A good financial plan isn't a prediction of your future. It's a way to make better decisions as your future unfolds.

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Summary

Household	Income	Net worth	Debt
Michael (37)	Michael $180K	$219K total $145K investable assets	$29K balance $950 monthly payment

- You're starting from a strong position: about $247,000 in total assets, $145,000 of it investable, and $43,000 a year going into savings, which includes your employer match. You're capturing that match in full at $7,000 a year.
- The tension is that the same income is being asked to do several jobs. Your cash flow runs about $8,336 a year negative, because retirement saving, near-term goals and a cash cushion all draw on the same dollars.
- Two goals land in January 2027: a $113,300 home purchase and a $3,500 vacation. Your $30,000 in cash covers about 3 months of expenses, against a 5 to 6 month reserve of $46,530 to $55,836. Counting those goals, the cash target is $163,330 to $172,636.
- As a projection, retiring at 58 leaves a retirement-account gap of about $1,177,586 in today's dollars. Guaranteed income would cover about 34% of an $89,649 yearly need, and savings would last to about age 85 against a plan to 91. Your net worth stays positive through the plan.
- Protection and debt have gaps too. Life insurance is $180,000 against a recommended $900,000 to $1,800,000, and you have no umbrella policy. Your $3,500 credit card carries 20%, and at $200 a month it's on track to be paid off by July 2028.
- The realistic path is to weigh the home purchase, the retirement gap and protection against each other and decide which matters most to you. Your income and savings habits give you a solid base to build a plan around that choice.

Recommendations

- Decide how your January 2027 home purchase and your cash cushion fit together, and keep that near-term money separate from your long-term investments.
- Weigh how much more to direct toward retirement against your tight monthly cash flow, since both draw on the same income.
- Review your life insurance and umbrella coverage, and weigh the premiums against your budget.
- Keep paying down your high-interest credit card so it stays on track to clear.
- Compare your current stock mix with the Growth profile you chose, especially once the money set aside for your home is accounted for.

Retirement & Goals

1 Going on a $3,500 vacation every year.

2 Plan to purchase a home for $550,000 in 2027.

Your net worth projection

Current net worth:	Net worth at retirement:	End of plan
$219K	**$1.5M**	**$567K**



- Your plan to retire at 58 currently runs short: savings and investments are projected to run out at age 85, six years before the plan ends at 91. About $32,439 of planned spending would go unpaid by then.
- Guaranteed income, which is Social Security only, covers 34% of an $89,649 yearly spending need. That leaves savings to cover about $59,613 a year on average, so the plan leans heavily on your portfolio.
- That reliance shows up as an average draw of 5.6% of savings at the start of retirement. This is a lifetime average rather than a safe-rate test, but it helps explain why the money does not last to 91.
- You reach retirement with $1,535,457 in net worth, but only $1,071,095 is liquid. The rest, such as the home, is not easily spent, so it does little to stretch the savings that run out at 85. It is also why net worth stays positive at the end of the plan.
- Your spending need includes $443,522 of other goals after retirement, which adds to what savings must carry. No long-term care cost is in the plan, so real needs could be higher than this projection shows.

> **We should look into**: how income in retirement covers only part of your spending need, the age your savings are projected to run out compared with your plan to 91, and how your other goals after retirement are funded.

Assets & Investments

Assets	$247,000
Cash account (2)	$27,000
Investment account (3)	$145,000
Vehicle (1)	$40,000
Other asset (1)	$35,000

- Most of your wealth sits in invested savings: $145,000, or 58.7% of your $247,000 in total assets. With no real estate, your progress rests mainly on how these accounts are invested, which matters at 37 with a Growth profile.
- Your invested savings are 73.5% in stocks, against a 98% target mix. The target is where you are aiming, not what you hold today, so there is a gap between your current mix and the growth approach you chose.
- You hold $27,000 in cash, 10.93% of your total assets. It gives you a liquid cushion alongside the larger invested pool, and you add about $3,000 a year to it.
- You put $24,000 a year into your 401(k), which includes the full $7,000 employer match, toward your target retirement age of 58. That steady saving offsets some of the pull from the gap in your stock mix.

We should look into: how your other asset and vehicle fit alongside your accounts, whether an IRA and further HSA contributions suit your goals, and confirming the brokerage account's tax treatment, which isn't in the data.

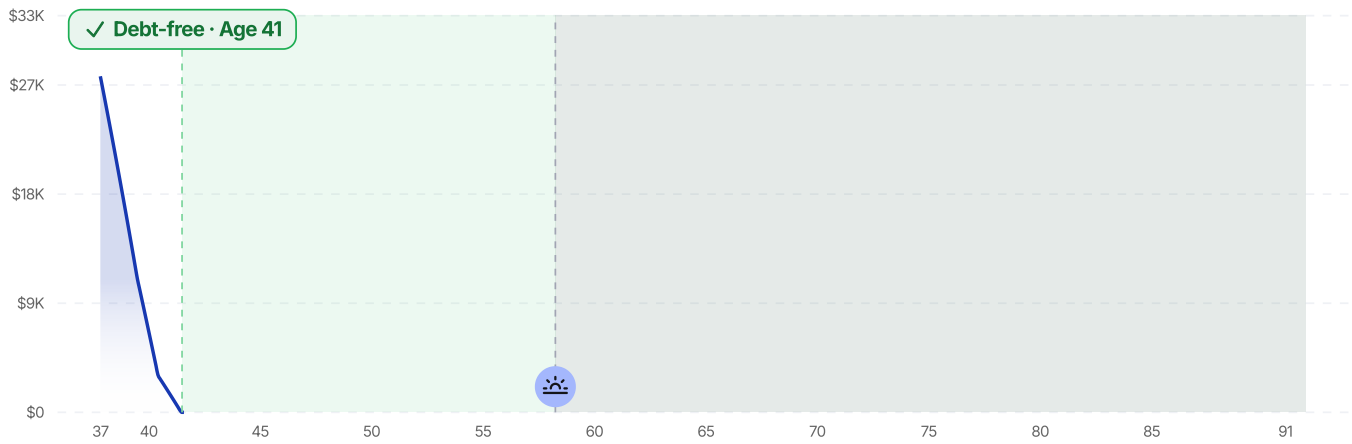
Debt management

DEBT-TO-INCOME	6%
HOUSING-OBLIGATIONS RATIO	25%
HOUSING RATIO	19%
MONTHLY PAYMENT	$950

LIABILITIES	$28,500
Credit cards (1)	$3,500
Mortgages	-
Student loans (1)	$10,000
Other loans (1)	$15,000

Debt amortization

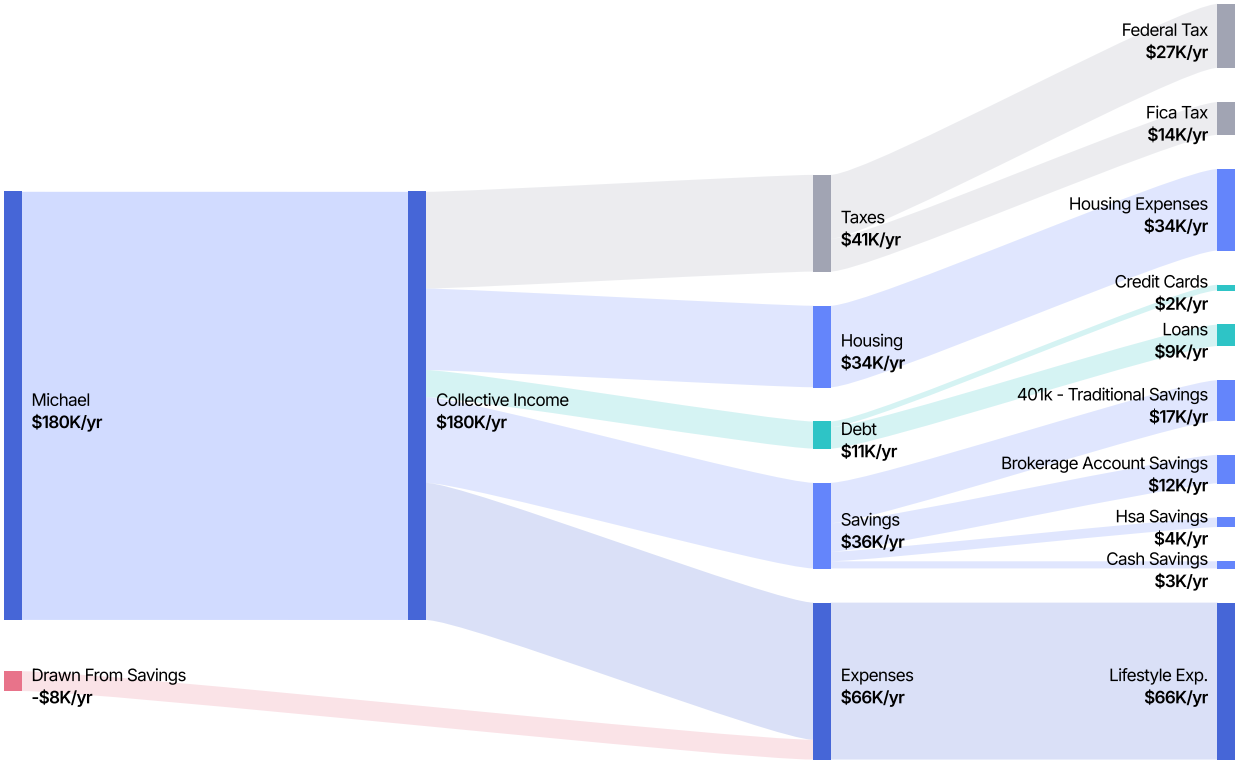
View: Total



- Your debt looks manageable rather than a source of strain: $28,500 in total, about 15.83% of your $180,000 income, with debt payments taking roughly 6.33% of income. The bigger pressure on your finances sits elsewhere, in cash.
- Your $3,500 credit card at 20% is the standout. It is small, but it is your most expensive debt for its size. The July 2028 payoff is a projection that holds only if $200 a month continues as assumed.
- Rent of $2,800 a month puts your housing ratio at 19.04%, and with debt payments the housing-obligations ratio is 25.37%. That is below the 36% first threshold, so there is some margin today. A home purchase would change this, and the new mortgage payment isn't in the data, so that effect is unknown.
- Your $30,000 in cash is below the $46,530 to $55,836 reserve target (5 to 6 months), a gap of $16,530 to the minimum. For now this cushion likely matters more than the size of your debt, since the same cash may also be needed for a home purchase.
- Paying the card off faster would compete with retirement saving and home-purchase cash, so it is a tradeoff rather than a clear-cut move.

> **We should look into**: the credit card's high interest cost, how debt payments fit alongside your cash flow and the upcoming home purchase, and the student loan's role next to your other goals.

Savings & Expenses



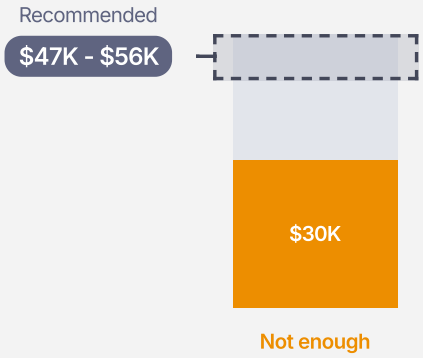
- You save $43,000 a year, and that figure includes your $7,000 employer match. Even so, your net cash flow is -$8,336 a year. Your income is being asked to cover a lot, so this isn't a lack of effort.
- Closing your retirement gap would take about $20,231 more per year, a projection of what it would take to cover the $1,177,586 gap at age 58. That draws on the same income that is already running negative, so retirement and near-term needs compete for the same dollars.
- Your $30,000 of cash covers 3.2 months of expenses. A 5 to 6 month reserve would be $46,530 to $55,836, so you are $16,530 short of the low end. Right now this matters more than adding to long-term savings.
- Your January 2027 home purchase and vacation add $116,800 in near-term needs. With them, your cash target is $163,330 to $172,636, and your current cash would cover 0 months after those goals.
- Your housing-obligations ratio is 25.37%, below the first 36% threshold, so housing is not what is straining your budget. Your employer match is also fully captured, so you are not leaving that money behind.

> **We should look into**: the Roth IRA, the remaining 401(k) deferral limit, and the HSA if your health plan qualifies. We'd also confirm the missing details on employer-plan stock purchases, IRA catch-up and HSA employer match, so any choice fits your cash needs.

Insurance & Protection

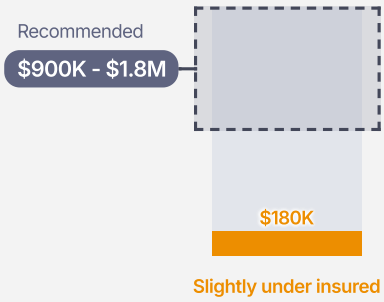
Protection covers three areas that safeguard the plans your $180,000 income supports: your emergency fund, life insurance and umbrella liability coverage. Each currently sits below its recommended level, and your cash cushion is also tied to the home purchase and vacation due in January 2027, so we look at each area on its own and explain why its figures matter.

Emergency fund



- Your $30,000 of accessible cash covers about 3.2 months of your $9,306 in monthly expenses, while 5 to 6 months ($46,530 to $55,836) is the recommended range for you. That leaves a $16,530 shortfall, which matters because this cash is your cushion if your $180,000 income were ever interrupted.
- The January 2027 home purchase ($113,300 to hold) and vacation ($3,500) are due together. Counting them, your cash target rises to $163,330 to $172,636, and the months your cash would cover after those goals fall to 0.
- Your $180,000 income is a real strength, but it does not by itself close the cash gap.

Life insurance



- You have $180,000 of life insurance against a recommended range of $900,000 to $1,800,000, which leaves a $720,000 shortfall and no excess. Because you are a one-person household, that gap matters: your coverage is well below what the household would need if your income stopped.
- Your $180,000 income is the only income in your household, so everything you plan and owe depends on it.
- Three debts would remain: a $15,000 car loan on the BMW 3 Series, a $10,000 student loan and a $3,500 credit card at 20%. Together that is $28,500, and the credit card carries the highest rate.
- You have no legacy or education goal, so the gap comes from your income and these debts rather than from those goals.

Umbrella insurance



- You have no umbrella policy, against a recommended minimum of $1,000,000, so that full amount is uncovered. A liability claim could reach your $172,000 of liquid assets and, beyond that, your $218,500 net worth, which are the savings and wealth you're building toward your plans.
- Your BMW 3 Series, with $25,000 of equity, shows as uninsured in the data. That adds to your exposure and is worth confirming, since the data may not reflect your actual coverage.
- Umbrella cover would compete with other pressures on your budget, including thin cash ahead of the January 2027 home purchase. The cost of umbrella coverage isn't in the data, so how this tradeoff plays out is still uncertain.

Summary

ALLOCATION

CURRENT
59 / 41

PROPOSED
67 / 33

ANNUAL RETURN

CURRENT
6.08%
Historical 13.59%

PROPOSED
6.91%
Historical 16.63%

STANDARD DEVIATION

CURRENT
7.90%

PROPOSED
8.36%

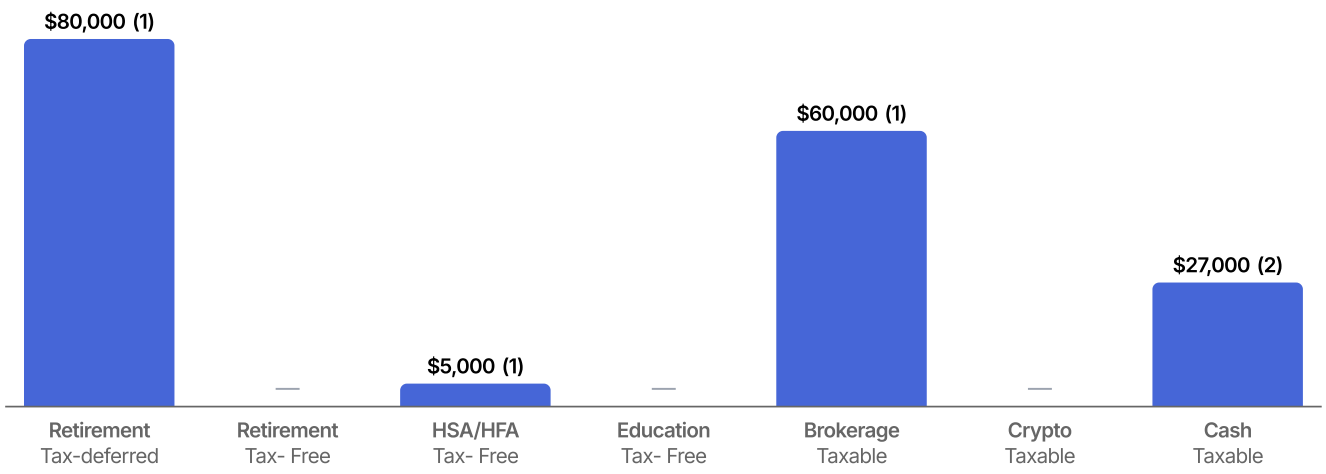
- **Retirement is the gap** — Your portfolio has to fund a long retirement while you keep saving from one salary. Your investable assets of $145,000 are a solid base. The clearest shortfall is that your savings and investments run out at age 85, leaving $32,439 of planned spending unpaid.
- **What the numbers mean** — Income covers about 34% of your yearly retirement spending need of $89,649, so savings must supply about $59,613 per year on average. Net cash flow is -$8,336 per year, so each dollar needs a clear job.
- **Where to start** — Rebuild your emergency reserve toward $46,530 to $55,836, and pay off the $3,500 credit card at 20% early. Then add to retirement: you defer $17,000 to your 401(k), so $7,500 is the most you can add. You could contribute up to $4,500 to a Roth IRA.
- **Order matters** — Retirement saving, cash building and card payoff compete for the same dollars while cash flow is negative, so we'll test the sequence. Cost basis in your taxable brokerage account is missing, so the tax effect of any sale isn't known yet.
- **Keep an eye on** — Your income depends on one employer, which adds risk on top of a thin cash cushion. Watch both as you build reserves.

Your investment snapshot

This snapshot covers the accounts we have on record for you: your 401(k), your HSA, your taxable brokerage account, and your checking and savings. Taken together, they form a portfolio built around a large taxable brokerage account alongside your retirement and cash accounts, with a thin cash cushion relative to the size of the investments.

INVESTING

$172,000 5 accounts



Your portfolio is built for long-term growth, yet the same dollars also have to carry a retirement that currently runs short and keep a cash cushion that is still thin, so one pool of money is serving several jobs at once. Growth, safety and retirement income don't always pull in the same direction, which makes this a question of liquidity and sequencing more than of any single holding. The sections below look at how well today's portfolio serves each of those purposes.

What your portfolio should be doing

- **Safety cushion** — Your accessible cash of $30,000 covers about 2.9 months of expenses. A reserve of 5 to 6 months ($46,530 to $55,836) would let an unexpected event pass without forcing you to sell investments, which leaves you $16,530 short of the minimum. This money's job is to be available and stable, not to chase growth.
- **Retirement income** — Today's projection shows your funds lasting to age 85 and ending the plan $32,439 short, with a withdrawal rate of 5.59% at today's value. This is the long-horizon job, and it draws on the same dollars as your yearly cash flow and your cash cushion.
- **Long-term growth and tax-aware savings** — Your 401(k), HSA and taxable brokerage account carry the growth work, with $145,000 of investable assets. You defer $17,000 to the 401(k) with an employer match, and you could add up to $7,500 more to what you defer. You could also contribute up to $4,500 to a Roth IRA, with nothing contributed so far. Timing depends on how your cash flow allows.

What it's actually doing

- **Thin cash cushion** — Your accessible cash covers about 2.9 months of expenses, against a suggested 5 to 6 months ($46,530 to $55,836). That leaves you $16,530 short of the minimum. An unexpected bill or income interruption would likely be met by selling investments or borrowing, rather than from cash on hand.
- **Spending outruns income** — Your net cash flow is -$8,336 a year, which is 4.63% of gross income, after expenses, taxes and $11,400 a year of debt payments. Even though cash flow has improved from -$14,936, your day-to-day spending and debt service still draw on savings. That makes the cash shortfall slow to close on its own.
- **One employer carries both job and wealth** — Your $180,000 salary equals 82.38% of your $218,500 net worth. Your paycheck and most of your financial picture depend on the same employer. If that income were disrupted, you would feel it in your cash cushion and your investments' ability to keep growing at the same time, since the cushion is already thin.
- **Expensive debt sits beside the shortfall** — Your Amex card carries $3,500 at 20%, with $200 paid monthly. Interest at that rate runs well above what idle savings earn, so it adds to the pressure on cash flow. Your overall debt is $28,500, or 15.83% of gross income, with a debt-only DTI of 6.33%, which is modest.

Your recent performance



Over the three years to November 2026, your portfolio grew about 13.6% a year. A simple diversified portfolio holding the same share in stocks grew about 15.3% a year over the same stretch, so you trailed it by roughly 1.7 percentage points. Your value moved up and down by about 7.9% a year, against about 9.0% for that comparison. Per unit of risk taken, the two were close (1.27 for you, 1.30 for the comparison). In plain terms, you earned about what your mix of stocks, bonds and cash would be expected to earn. Three years is a fairly short record, so it describes this window and not a long-run pattern.

The most meaningful pattern is how you behaved in rough patches. In your worst stretch the portfolio fell about 10.2% from its peak and recovered in 62 days, while the comparison fell about 11.4%. You also fell less than the comparison in most market shocks. Around the April 2025 tariff pause, you fell 2.0% against 3.3%. Around the February 2026 Supreme Court tariff ruling, you fell 0.8% against 1.4%. The flip side is that you captured only about 72% of the market's gains in rising stretches, while taking about 91% of its losses. So you gave up somewhat more of the recoveries than you saved in the declines.

Your accounts differed. The 401(k) returned about 17.9% a year, while the HSA, which is mostly bonds and cash, returned about 3.0%. The paths of your portfolio and the comparison stayed close throughout, and the differences in individual shocks were small, so I wouldn't read a strong story into any single episode. Past results over this window are not a forecast.

What's working

- **Employer match captured** — You contribute enough to your 401(k) to receive the employer contribution, which adds $7,000 a year to your retirement plan. That is compensation you already collect, and it builds alongside your own deferrals without any extra effort or cost from you.
- **Steady 401(k) deferrals** — You defer $17,000 a year into your traditional 401(k), against a $24,500 limit, and the account holds $80,000. Those contributions build tax-deferred retirement savings, and you are keeping them up alongside saving in your HSA and brokerage account.
- **Manageable debt** — Your debt-only debt-to-income ratio is 6.33%, with payments of $11,400 a year against $180,000 of gross income. Total debt is $28,500, and the BMW loan is gone, so your obligations stay at a level your income can carry comfortably.
- **Cash flow improving** — Your net cash flow improved to -$8,336 a year from -$14,936, largely because the car loan came off. The yearly gap is still there, but it has narrowed by $6,600, which shows your obligations are moving in the right direction.
- **Net worth rising** — Your net worth is $218,500, up from $203,500, after the $15,000 car-related loan left your balance sheet. Paying that debt down raised what you own net of what you owe, and it did so without selling any investments.

What needs to change

- **Retirement depletion** — Your plan shows liquid assets running out at 85 and ending at -$32,439, with a 5.59% withdrawal rate at today's value. Closing that would take about $20,231 more per year, and those same dollars are also needed to cover your negative cash flow.
- **Thin cash cushion** — Your cash covers about 2.9 months of expenses, against a suggested 5 to 6 months ($46,530 to $55,836). That leaves you $16,530 short of the minimum, so an unexpected expense or income interruption could force you to sell investments instead.
- **Cash flow** — Net cash flow is -$8,336 a year, about 4.63% of gross income, even after improving from -$14,936. Spending and debt payments of $11,400 a year draw on savings, which limits how quickly the reserve and the retirement shortfall can both be addressed.

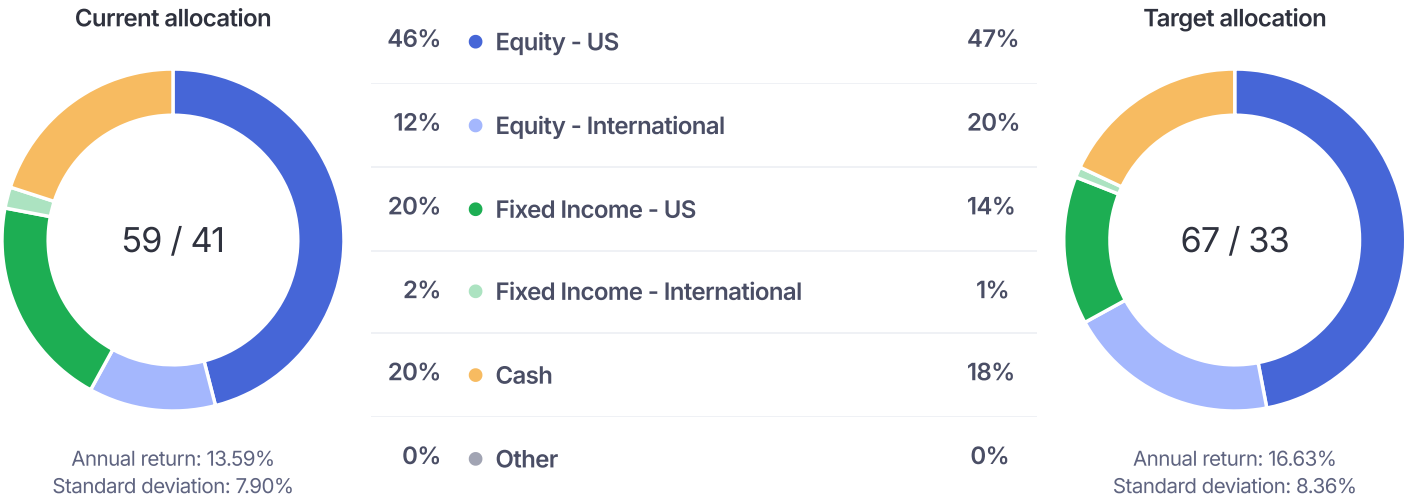
Retirement accounts

You are doing real work in your retirement accounts: you defer $17,000 to your 401(k), your employer adds $7,000 a year, and your 401(k) returned 17.9% annualized over three years. The weak point is that this effort still falls short of the goal, with a projected shortfall of $1,177,586 and savings running out at age 85. Closing that gap would take about $20,231 more per year, yet your yearly cash flow is already negative, so retirement dollars compete with your 20% credit card, your emergency reserve and your January 2027 home purchase. Your 401(k) limit is $24,500, so the most you can add is $7,500 (worth about $1,800 in tax), and you could contribute up to $4,500 to a Roth IRA, where nothing has been contributed so far, though your eligibility at this income is still to be confirmed. What is at stake is a retirement income that lasts, and trying to do everything at once is likely to stall. You need a clear, paced path that settles which dollars go to the credit card, to cash and to retirement, and in what order, then reviews spending to fund the gap.

HSA accounts

Your HSA is a smaller step to take after your larger priorities, such as the 20% credit card and building cash for your January 2027 goals. You have contributed $4,000 against a limit of $4,400. Adding the remaining $400 would save about $96 in tax per year, and it adds to a tax-free place to pay medical costs. Because your yearly cash flow is tight, add it only as money frees up. A second improvement is inside the account. Your HSA holds $1,500 in cash, $1,400 of it above a small working buffer, and that cash is earning 0.00%. Investing it inside the HSA, with no withdrawal, is worth about $104 per year on its own. Part of the $134 per year you could gain by investing idle cash in the HSA and 401(k) comes from this step. Your HSA's other holding is a bond fund of $3,500. Its payouts would cost about $38 a year in tax if held in a taxable account, and the HSA already shelters that cost, so it is not a saving still available to you. The HSA is mostly bonds and cash, and it returned 3.0% a year over three years. Reviewing the funds in the HSA for drag could help later.

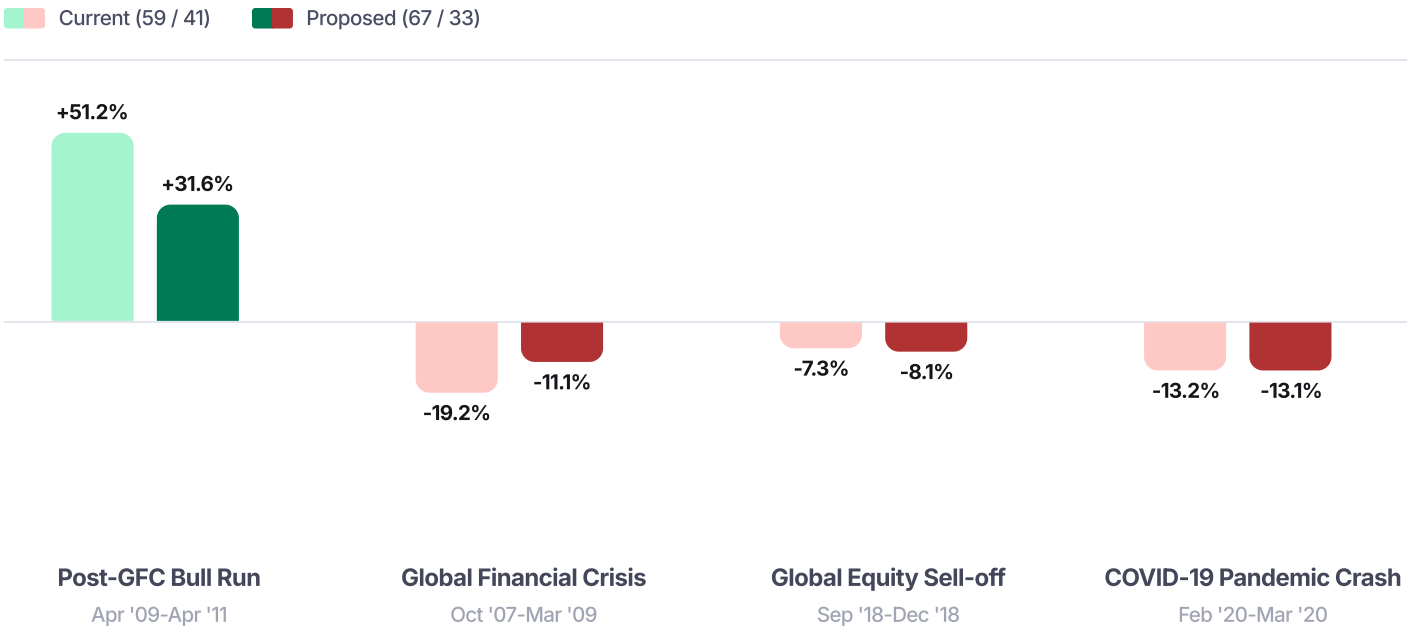
What we're recommending



3-year backtest (not actual results), Nov 1, 2023 to Nov 1, 2026, gross of advisory fees. Note that a different period or market environment could produce materially different results. See disclosures for methodology.

- **Rebuild a liquidity cushion** — Your $30,000 of accessible cash covers about 3 months of essential expenses, against a recommended 5 to 6 months ($46,530 to $55,836). You are $16,530 short of the minimum. A larger buffer would let you handle a surprise without selling investments or leaning on the 20% credit card, which carries $3,500. You decide how fast to build it.
- **Confirm your January 2027 cash needs** — Your cash target is $163,330 to $172,636 once the $113,300 home purchase and $3,500 vacation due in January 2027 are included. Against that, you are about $133,330 short, and cash would cover 0 months afterward. Confirming the size and timing of those goals would show how much of the gap is real. It would also keep a market dip from forcing sales.
- **Make savings and cash flow fit together** — You save $43,000 a year, 23.9% of income. Even so, after taxes, spending and debt payments you run a $15,336 yearly shortfall. Retirement saving and cash building draw on the same dollars, so review spending and the savings mix together. Clearing the 20% card is a clear lever.
- **Close the retirement gap steadily** — Your plan shows savings running out at 85, with about $32,439 of planned spending unpaid, and about $20,231 more per year would close the gap. You defer $17,000 to your 401(k), so you could add up to $7,500 more, worth about $1,800 in tax. Your HSA has $4,000 contributed against a $4,400 limit. Any extra depends on what cash flow allows.
- **Look at where investment income is taxed** — You pay about $527 a year in tax on investment income, all in your brokerage account. About $247 comes from one high-yield bond fund taxed at 24%, which may fit better in a tax-sheltered account. The saving is modest, so weigh it against your other priorities.
- **Spread concentrated exposures** — Your $180,000 salary equals 82.4% of your net worth. Technology is about 33% of your stock holdings, and US holdings are about 85%. A downturn at your employer or in one industry could hit your pay and portfolio together. Review this against your growth goals.

How each allocation behaves in real market environments



- **Pullbacks have been shallow** — Over the three years studied, your mix of about 59% stocks, 21% bonds and 20% cash-like holdings lost at most 10.21% from peak to low, and it recovered in 62 days. A diversified portfolio with the same overall stock share lost 11.44% at its worst. You earned 13.6% a year against 15.3% for that comparison, with smaller swings. Return per unit of risk was close: 1.27 against 1.30. These are past results, not a promise about future markets.
- **Recent shocks hit you a little less** — In the 90-day tariff pause rally (April 2025), you fell 1.98% while the comparison fell 3.27%. After the Supreme Court tariff ruling (February 2026), you fell 0.79% against 1.40%. After the final Fed rate hike (July 2023), you fell 4.19% against 4.63%. Your largest shortfalls were small: Operation Epic Fury was 0.29 percentage points worse, and the Liberation Day tariffs were 0.19 worse.
- **Recoveries were captured less fully** — In rising markets you kept about 72% of the gains of a comparable mix. In falling markets you took about 91% of the losses. So the cushion protected only part of the downside while giving up more of the recovery. This describes the mix you held over these three years, not a target mix, and it may not describe future markets.

Important Disclosures & Assumptions

This report was prepared by your firm using the Sherpas Wealth Technology platform. Sherpas is an unaffiliated technology provider and doesn't give investment, legal, tax, or accounting advice. Your firm and your advisor review this report and are responsible for any advice given. It's meant to support your conversation with your advisor, not to be relied on alone, and is not an offer or recommendation to buy or sell any security.

Some observations and planning points here are generated or assisted by automated technology using your information, your firm's assumptions, and the analysis results. They're discussion points to review with your advisor, subject to their review, not individualized investment recommendations.

All projections and analyses in this report are hypothetical in nature and based on the data, assumptions, and parameters described below. Actual results will vary, potentially to a significant degree from those shown. Past performance does not guarantee future results.

Financial Health Projections

Financial health projections use a single-scenario, deterministic model that projects income, expenses, taxes, and net worth on a month-by-month basis. This model does not use Monte Carlo simulation, probability analysis, or confidence intervals.

Key Planning Assumptions:

- Inflation: General at 3.00%, healthcare at 5.00%, education at 5.00%
- Life expectancy: Michael: 91 years; Spouse: 91 years
- Tax modeling: Federal and state income tax brackets, FICA, Medicare, and capital gains. AMT not included.
- Social Security: Estimated using PIA formula. WEP/GPO not modeled.

Expected Investment Return Assumptions

Since detailed account holdings are not available in this analysis, the baseline expected return is derived from a standard portfolio allocation corresponding to your risk profile, which in turn is projected into the net worth output:

Expected returns are based on forward-looking capital market assumptions by asset class, sourced from J.P. Morgan's Long-Term Capital Market Assumptions (LTCMA):

Risk Profile	Expected Annual Return	Asset Class	Expected Annual Return
1 - Capital preservation	5.86%	U.S. Equity	7.70%
2 - Conservative	6.67%	Non-U.S. Equity	7.63%
3 - Moderate	7.30%	U.S. Fixed Income	5.48%
4 - Growth	7.76%	Non-U.S. Fixed Income	5.57%
5 - Dynamic	8.18%	Cash	3.20%
		Other / Alternatives	9.17%

Both the risk profile, expected returns, and asset class expected return assumptions may be adjusted by the proprietary views of your firm.

Investment Analysis

The Sherpas Investment Analysis is provided for informational and educational purposes only and is intended to support discussions between you and your financial advisor. It does not constitute investment advice, a recommendation to buy or sell any security, or a guarantee of future results. The analysis is based on information provided by you and/or your advisor. The accuracy and completeness of the results depend on the accuracy and completeness of the inputs.

Portfolio Performance Methodology (Current Allocation)

Performance metrics shown for the current portfolio (including annual return and standard deviation [1]) are based on historical performance derived from the portfolio's current holdings and allocation weights as provided by the end investor.

[1] Current portfolio: Based on 3-year backtested results using current allocation weights applied to historical prices (composition-based). Not a projection of future returns.

This analysis applies the current portfolio composition to historical market data over a trailing 3-year period, taking into account the impact of dividends and corporate actions, such as stock splits.

This methodology assumes that the current portfolio allocation remained constant over the entire period, which does not reflect actual trading activity, rebalancing, cash flows, or changes in holdings that may have occurred. Accordingly, the results are hypothetical and do not represent actual client performance.

Target Portfolio Methodology

Performance metrics shown for the target portfolio (including annual return and standard deviation [2]) are calculated using the same composition-based backtesting methodology as the current portfolio.

The recommended target allocation weights are applied to the same trailing 3-year historical market data, including dividends and corporate actions. The difference in results between current and target reflects the difference in allocation composition, not a difference in calculation methodology.

[2] Target portfolio: based on 3-year backtested results using target allocation weights applied to the same historical prices (composition-based). Not a projection of future returns.

Both are hypothetical and assume a static allocation held constant over the period. The target allocation is derived from model portfolios managed by your firm's centralized investment team, aligned to the client's risk profile.

Fees and Expenses

This analysis does not apply an assumed advisory fee schedule. Baseline and target performance are shown gross of advisory fees.

The performance shown does not include advisory fees or other potential costs and expenses, including but not limited to transaction costs, custodial fees, and taxes. These additional costs would reduce actual investment returns.

Data Sources

Market data sourced from Morningstar (ETFs, mutual funds) and Bavest (direct stocks, cryptocurrency). While believed to be reliable, the accuracy and completeness of the data are not guaranteed. This report reflects information available as of the date indicated and may not reflect subsequent market developments.

Important Risks and Limitations

- Investing involves risk, including the possible loss of principal.
- Hypothetical performance results have inherent limitations, including that they do not reflect actual trading or investor behavior, may not account for the impact of market conditions, and assume static allocations that may not reflect real-world portfolio management.
- No client account has achieved the hypothetical current or target results shown. Actual results will vary and may differ materially from those illustrated.

Additional Considerations

This analysis does not take into account all factors that may be relevant to your financial situation, including tax considerations and unique investment restrictions.

All investment decisions should be made in consultation with your financial advisor and in consideration of your individual financial circumstances, objectives, and risk tolerance.

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